



ADM/CS/101

MUMIAS SUGAR COMPANY LIMITED

Head Office

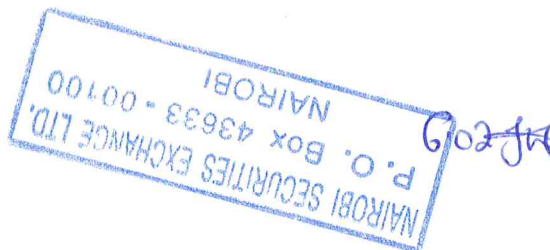
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19th February, 2014

Ag. Chief Executive Officer
Capital Markets Authority
Embankment Plaza, Longonot Road,
P.O Box 74800 – 00200
Nairobi



Dear Sir,

UNAUDITED RESULTS FOR THE SIX MONTHS ENDING 31ST DECEMBER, 2013

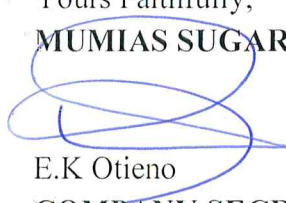
We refer to the above.

Attached please find unaudited results for the six months ending 31st December, 2013 as approved by the Board on 19th February, 2014. We will publish the results in the print media on Friday 21st February, 2014 and Saturday 22nd February, 2014.

Kindly acknowledge receipt by signing on the attached copy.

Yours Faithfully,

MUMIAS SUGAR COMPANY LIMITED


E.K Otieno

COMPANY SECRETARY/LEGAL AFFAIRS DIRECTOR

Cc: Nairobi Securities Exchange
P.O Box 43633
Nairobi

Directors:

Mr. John V. Bosse (Chairman)
Dr. Evans Kidero (Managing)

Mr. Kungu Gatabaki
Hon. Amos Wako

Mr. Sakwa Bunyasi
Mr. John Mrutu

Coutts A. Otolo
Mrs. Sarah Serem

Mr. Joseph Kinyua
Mr. Edwins Mukabana

Mr. Francis Kigen
Mr. James G. Chege



UNAUDITED RESULTS

FOR SIX MONTHS ENDED 31 DECEMBER 2013

**CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31 DECEMBER 2013**

	Six Months to Dec 2013 Shs'000	Six Months to Dec 2012 Shs'000	Growth %
Net Revenue	7,132,846	5,426,043	31%
Fair value (loss)/gain on biological assets	-37,952	-56,862	-33%
Cost of sales	-5,641,980	-5,227,224	-8%
Gross profit	1,452,914	141,957	923%
Other operating income	108,753	139,681	-22%
Marketing and distribution costs	-385,963	-419,732	8%
Administrative expenses	-782,613	-806,266	3%
Other operating expenses	-336,940	-409,669	18%
Finance income	154,176	231,856	-34%
Finance costs	-315,201	-458,408	-31%
(Loss)/Profit before taxation	-104,874	-1,580,581	93%
Taxation Credit/(Charge)	31,462	474,174	-93%
(Loss)/Profit after taxation	-73,412	-1,106,407	93%
TOTAL COMPREHENSIVE (LOSS)/INCOME FOR THE PERIOD	-73,412	-1,106,407	93%
	Shs	Shs	
Earnings per share - basic & diluted	-0.05	-0.72	93%

**CONDENSED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2013**

	31 Dec 2013 Shs'000	30 June 2013 Shs'000
ASSETS		
Non-current assets	19,644,738	20,088,453
Current assets	5,938,099	7,059,940
TOTAL ASSETS	25,582,837	27,148,393
EQUITY AND LIABILITIES		
Shareholders' equity	13,215,558	13,288,970
Non-current liabilities	5,769,954	5,450,650
Current liabilities	6,597,325	8,408,773
TOTAL EQUITY AND LIABILITIES	25,582,837	27,148,393

**CONDENSED STATEMENT OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED 31 DECEMBER 2013**

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2012	3,060,000	3,350,880	9,312,806	15,723,686
Total comprehensive income for the period	-	-	(1,106,407)	(1,106,407)
Final dividend declared – 2011	-	-	(765,000)	(765,000)
At 31 December 2012	<u>3,060,000</u>	<u>3,552,456</u>	<u>7,979,858</u>	<u>14,592,314</u>
At 1 July 2013	3,060,000	3,173,432	7,055,538	13,288,970
Total comprehensive income for the period	-	-	(73,412)	(73,412)
Final dividend declared – 2012	-	-	-	-
At 31 December 2013	<u>3,060,000</u>	<u>3,173,432</u>	<u>6,982,126</u>	<u>13,215,558</u>

CONDENSED STATEMENT OF CASHFLOWS
FOR THE SIX MONTHS ENDED 31 DECEMBER 2013

	2013	2012
	Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash (used by)/generated by operating activities	<u>(888,084)</u>	<u>(975,104)</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	<u>(112,742)</u>	<u>(475,176)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated by financing activities	<u>548,851</u>	<u>671,602</u>
(DECREASE) IN CASH AND CASH EQUIVALENTS	(451,975)	(778,678)
CASH AND CASH EQUIVALENTS AT 1 ST JULY	<u>(940,281)</u>	<u>(1,280,189)</u>
CASH AND CASH EQUIVALENTS AT 31 ST DECEMBER	<u><u>(1,392,256)</u></u>	<u><u>(2,058,867)</u></u>

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2013, which have been prepared in accordance with International Financial Reporting Standards.

The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2013.

ECONOMIC ENVIRONMENT

Kenya's economy was relatively stable during the period under review. Real GDP growth was 5%. Year on year inflation went up to 6% in December 2013 from 3.2% in 2012. This was attributed to the effect of the General elections held in March 2013. The interest rates declined gradually in 2013 from a high of 30% to 15% reducing the cost of borrowing substantially.

SUGAR INDUSTRY

The sugar industry experienced a significant shortage of sugar cane in the Western Kenya sugar belt. Proliferation of mills in this region caused stiff competition for sugarcane resulting in heightened poaching. The situation was further aggravated by falling yields of production per hectare due to low soil fertility, poor crop husbandry due to high agricultural input costs and unpredictable rain patterns.

The local sugar market has been impacted negatively by the influx of illegally imported sugar and duty free sugar from COMESA countries which depressed prices. Counterfeit sugar has also affected Mumias Sugar market share.

RESULTS OVERVIEW

The company recorded an increase in earnings compared to the same period last year. This was mainly attributed to higher activity levels in all the plants (sugar, ethanol and water) except cogeneration which suffered due to inadequate raw material.

- Net revenue grew by 31% to Kshs 7.1 billion
- Gross margin grew by 923% to Kshs 1.4 billion
- Average decrease in expenses by 29% to Kshs 1.5 billion
- Loss reduced from Kshs 1.58 billion to Kshs 105 million.

OPERATIONS

The total net revenue grew to Kshs 7.1 billion from Kshs 5.4 billion achieved over the same period last year, a 31% increase. Sugarcane diffused totaled 964,883 tons which was 13% higher than 852,181 tons in previous year.

Sugar produced was 84,199 tons which was 21.3% higher than 69,437 tons produced over a similar period last year. In the same period, the company sold 88,851 tons of sugar which is 29.2% above 68,775 tons sold over the same period last year.

Sugar prices declined by 3% over same period last year due to lower world market prices and unfair trade practices.

Revenue from ethanol and water increased compared to a similar period last year to KES 488 million (2012 – KES 50 million) and KES 14 million (2012 – KES 10 million) respectively. Cogeneration recorded a decline in earnings of 46% due to challenges in availability of raw materials.

Cane availability is still a major challenge as a result of lower area under cane, declining cane yield per hectare and cane poaching by other millers who have not developed their own cane.

Overall reduction of costs by 29% is a result of management's deliberate focus on cost control to ensure efficiency and sustainability.

The company posted a pre-tax loss of Kshs 105 million an improvement of 93% over the same period last year of a loss of KES 1,580 million.

CREDIT RATING

Mumias Sugar Company has a competitive credit rating at A (Long term) and A1 (Short term) as per Global Credit Rating Company in December 2013. The rating is commendable amid the challenges facing the industry.

OUTLOOK

The company looks forward to better performance in the second half of the year despite the challenges as the supply of sugarcane is expected to improve due to adequate rainfall during the period under review.

The current low world market sugar prices are not sustainable in the long term to meet global increases in consumption. It is expected that prices will improve in the coming year. The COMESA safeguards expire on 28th February 2014. The Government has requested for an extension of the COMESA safeguard measures and the outcome is awaited.

Management will continue with cost management initiatives to ensure efficiency and sustainability. The Board of Directors is committed to efforts that will turn around the company in the foreseeable future.

BY ORDER OF THE BOARD

E. K. Otieno
Company Secretary
19 February 2014